

Done!

ECONOMICS

Paper 3 Multiple Choice (Supplement)

9708/32

October/November 2015

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)



READ THESE INSTRUCTIONS FIRST

Write in soft pencil.
Do not use staples, paper clips, glue or correction fluid.
Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.
DO NOT WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
Any rough working should be done in this booklet.

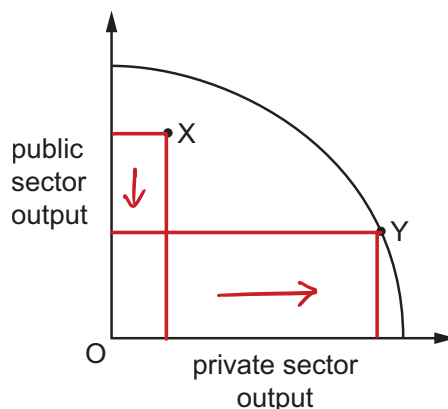
Solved with reasons!

[Signature]

Zarak Mushtaq!

This document consists of **13** printed pages and **3** blank pages.

- 1 The diagram shows the production possibility curve for a successful transition economy that moves from point X to point Y over time.



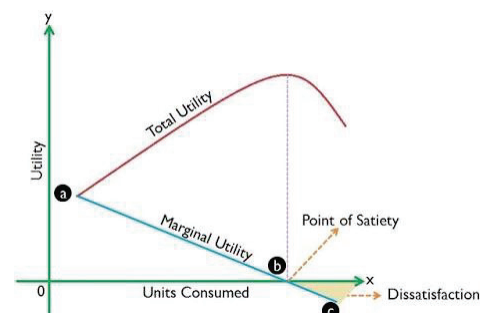
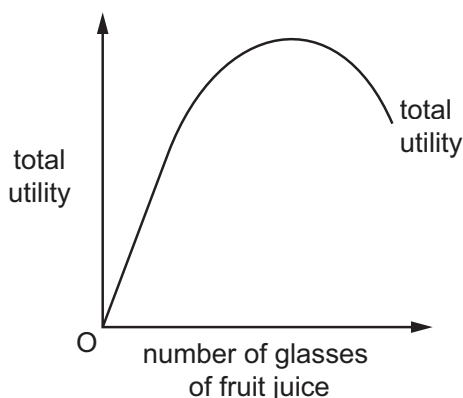
During the transition process the population of the country expressed a strong preference for increased privatisation.

What happens to economic efficiency as a result of the transition from point X to point Y?

	productive efficiency	allocative efficiency
A	increases	decreases
<u>B</u>	increases	increases
C	unchanged	decreases
D	unchanged	unchanged

* All the points on the production possibility curve are productively efficient but only one point is allocatively efficient. The point which is allocative, is productive as it is on the curve. But the point which is productive might be allocative.
 * Inefficiency to Efficiency (Both) as it is on production possibility curve.

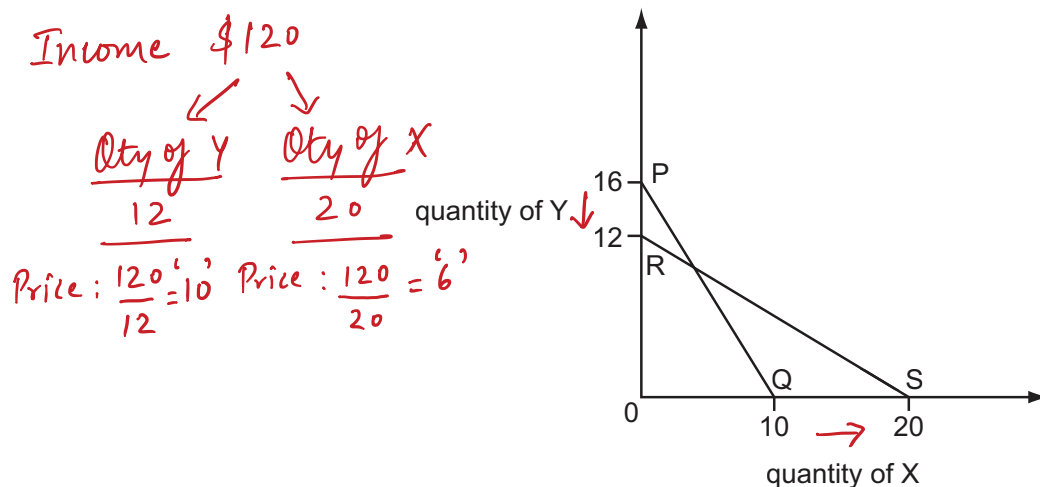
- 2 The diagram shows an individual's total utility from consuming glasses of fruit juice.



How can this information help to derive the individual's demand curve for fruit juice?

- A by revealing the individual's marginal utility curve
 B by revealing the money value of marginal utility
 C by showing how total utility is maximised
 D by showing the relationship between utility and expenditure (that's equi-marginal principle)

- 3 In the diagram, PQ is a consumer's original budget line.



The consumer's income increases from \$80 to \$120 and, at the same time, the prices of X and Y change.

If the consumer's budget line is now RS, what are the new prices of X and Y?

	price of X (\$)	price of Y (\$)
A	4	12
B	<u>6</u>	<u>10</u>
C	10	8
D	12	6

- 4 What will result from the differences in the non-pecuniary advantages of various occupations?

- A disequilibrium in the labour market (Different sectors)
- ~~B~~ long-term differentials in wage rates
- C monopsony in particular labour markets (wage maker)
- D shortages of labour in particular occupations

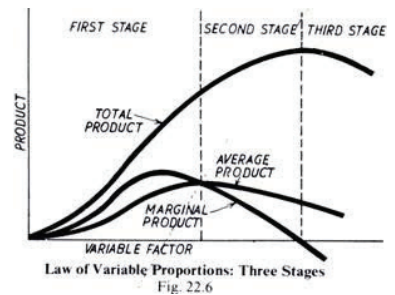
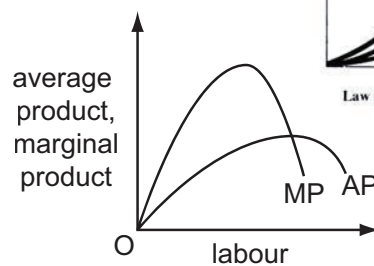
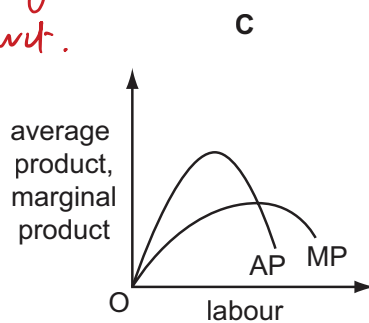
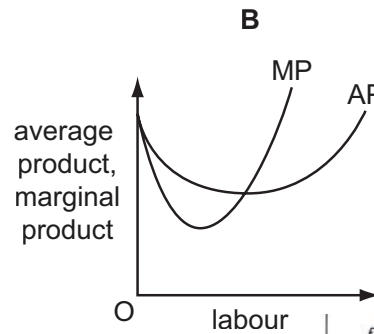
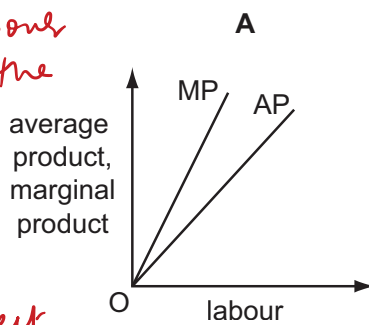
Higher wage concept, not linked to non-pecuniary advantages!

Labour productivity
↑

- 5 Which diagram correctly shows the relationship between the average product (AP) and the marginal product (MP) of labour, given that the quantities of other factor inputs remain constant?

Additional labour contributing to the output.

* marginal product intersect the maximum of average product.



- 6 A firm currently pays its employees on an hourly basis.

working at potential

Even though the management acknowledges that its employees work to the best of their ability and could not work any harder, the firm decides to switch to a piece-rate system of remuneration whereby the wage paid to each employee depends on their level of output.

Why might this new system of remuneration result in a significant improvement in labour productivity?

- A** It will dispense with the need for management to monitor the actions of its employees. cost ↑
- B** It will increase the losses that workers will incur if they are dismissed for not working hard enough. Labour productivity ↓
- ☒ **C** It will lead to the recruitment and retention of more highly talented workers. as they can earn on the basis of level of output produced
- D** It will strengthen the incentives for workers to increase their earnings.

↓
can't, they are working on their potential
Extract :- "could not work any harder"

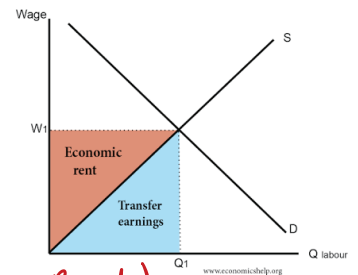
Transfer earnings are the minimum reward required to keep factors of production, such as labour, in its current occupation.

- 7 A fashion model is paid \$500 000 a year.

If the next best paid job he could get is as a teacher at \$100 000 a year, what are his transfer earnings and his economic rent?

	transfer earnings \$	economic rent \$
A	zero	400 000
☒ B	100 000	400 000
C	400 000	zero
D	400 000	100 000

In economics, economic rent is any payment to an owner or factor of production in excess of the costs needed to bring that factor into production.



* Extra amount is \$400 000 (Economic Rent)
* opportunity cost is \$100 000 [Transfer earning]

- 8 A fourfold increase in all of a firm's inputs results in a threefold increase in its output.

What does this illustrate?

☒ A decreasing returns to scale

B economies of scale (Average cost ↓)

C the law of diminishing returns (small firm, small, shortrun scale)

D the law of variable proportions (other word of Law of diminishing returns)

Inputs = 4 output = 3 [Diseconomies of scale or decreasing returns to scale]
↓
Rise in average cost

- 9 A firm employs two factors of production. The table shows the marginal products of these factors and their respective costs at the current level of output.

	land	labour
marginal product (units)	1	5
marginal cost per unit of factor (\$)	4	3

Which adjustment in factor use would be most likely to bring the firm nearer to the least-cost combination of inputs for its current output level?

	land	labour
A	less	less
☒ B	less	more
C	more	less
D	more	more

Land:- cost ↑, [Less]

marginal product < marginal cost per unit of factor

Labour:- cost ↓ [more]

marginal product > marginal cost per unit of factor

- merging Expanding its market
- 10 Firms can grow either externally or internally.

What represents internal growth?

	<u>Internal</u> finding new export markets	<u>External</u> merging with rival firms in the same industry	<u>External</u> merging with firms in other industries
A	no	no ✓	yes
B	no	yes	no ✓
C	yes ✓	no ✓	no ✓
D	yes ✓	yes	yes

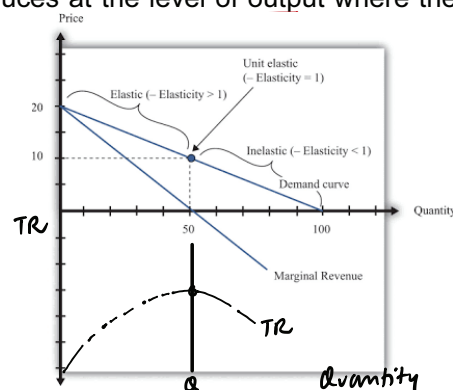
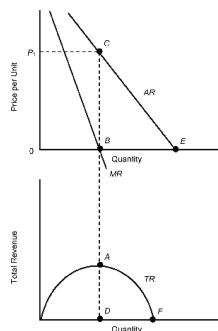
Unitary demand :- PED = 1, Total revenue Unchanged, thus maximum

- 11 A firm, operating in an imperfectly competitive market, produces at the level of output where the price elasticity of demand for its product is equal to unity.

Remember
the table
of imperfect
competition

What has the firm achieved?

- A normal profit
B maximum profits
~~C~~ maximum revenue
D maximum sales volume



- 12 The table shows the five-firm concentration ratios for a selection of industries in an economy.

★ A concentration ratio is the ratio of the combined market shares of a given number of firms to the whole market size. It is commonest to consider the 3-firm, 4-firm or 5-firm concentration ratio. Concentration ratios are used to assess the extent to which a given market is oligopolistic.

industry	percentage of total sales accounted for by the five largest firms in the industry (%)
tobacco	95
steel	60
water supply	60
printing	12 ✓

★ concentration ratio, concept related to Oligopoly!
★ In other words, concept says about market share.

What can be concluded from the table?

- A The firms are of equal size in the steel industry and the water supply industry.

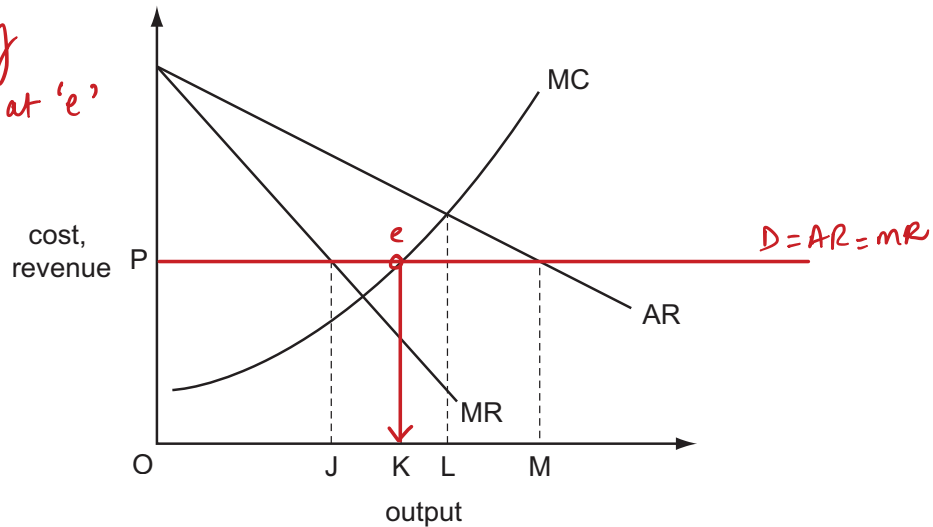
- ~~B~~ The printing industry is more competitive than the tobacco industry. 5 largest is 12%. very competitive market
- C The tobacco industry is a monopoly market. One firm with 25%.
- D There are more firms in the tobacco industry than in the water supply industry.

Data in percentage

marginal cost = marginal revenue

13 The diagram shows the initial cost and revenue curves of a profit-maximising monopolist.

* Profit max level of output is $MC = MR$ at 'e'



What output will the firm produce if the government fixes the price at OP?

- A OJ ☒ B OK C OL D OM

14 Instead of charging all of its customers the same price, a firm decides to charge different prices in different markets. *Price discrimination*

How is this likely to affect consumer surplus and the firm's marketing costs?

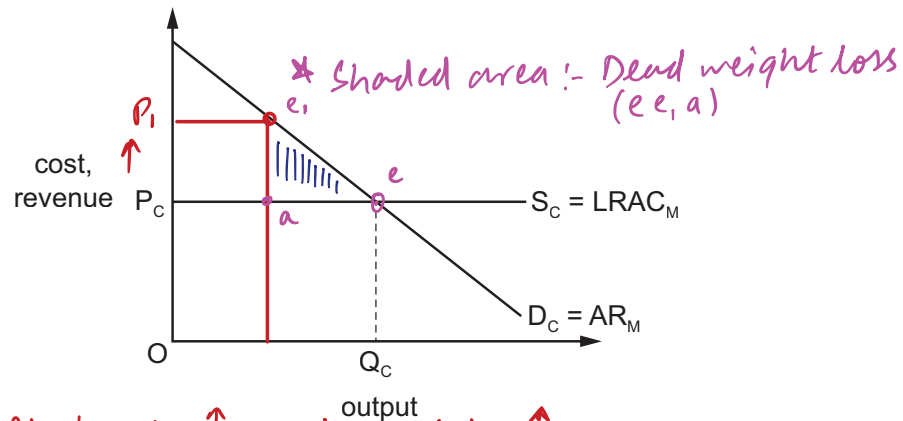
	consumer surplus	marketing costs
A	decrease	decrease
☒ B	decrease	increase
C	increase	decrease
D	increase	increase

* Price discrimination is charging different prices to different customers for the same product, reasons not associated with cost, it depends upon price elasticity of demand.

* Charging different prices reduces consumer surplus but identifying different elasticities will be costly as research will be required.

* Consumer surplus is the difference between the amount which you are willing to pay and the amount you actually pay!

- 15 The diagram shows the demand curve, D_C , and supply curve, S_C , of a perfectly competitive industry.



The industry is taken over by a monopolist. The monopolist's long-run average cost curve, $LRAC_M$, is identical to the supply curve of the perfectly competitive industry.

What will be the effects of the takeover on profit and allocative efficiency?

	profit	allocative efficiency
A	decreases	decreases
B	decreases	increases
☒ C	increases	decreases
D	increases	increases

Qty ↓
prices ↑
profits ↑
DWL :- Dead weight loss !

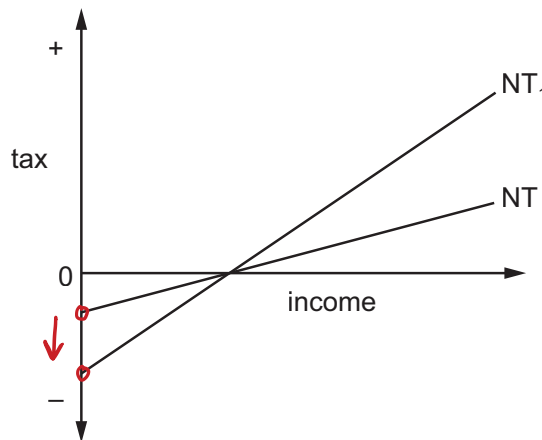
- 16 Which government microeconomic policy is not usually aimed at correcting allocative inefficiency in an economy?

- A anti-monopoly legislation (monopoly makes abnormal profits) (Allocative inefficient)
 B congestion charges for the use of roads in cities (External cost) (inefficiency)
 C pollution taxes imposed on various firms (External cost) (inefficiency)
☒ D subsidies for agricultural producers (There is no inefficiency)
 ↳ No link to improving allocative inefficiency

17 A country has a negative income tax. *

In the diagram, the curve NT shows the country's initial tax schedule.

* In economics, a negative income tax (NIT) is a progressive income tax system where people earning below a certain amount receive supplemental pay from the government instead of paying taxes to the government. Such a system has been discussed by economists but never fully implemented.



What could cause the tax schedule to shift to NT₁?

- ☒ A a higher marginal tax rate (Additional tax rate ↑)
- ☐ B a more equal distribution of income (Unequal)
- ☐ C an increase in household disposable income (Reduced Disposable income)
- ☐ D an increase in the marginal propensity to consume (Less consumed, Less MPC)

18 The information in the table is taken from a country's national income accounts.

$AE = Y$

	\$ million
national income	600
consumer spending	400
investment spending	80
government spending on goods and services	100
exports	140

$$Y = C + I + G + (X - m)$$

$$600 = 400 + 80 + 100 + [140 - x]$$

$$x = \$120 \text{ million}$$

$$(720 - 600)$$

What is the value of imports?

- ☐ A \$100 million
- ☒ B \$120 million
- ☐ C \$140 million
- ☐ D \$240 million

$$C + I + G + X$$

19 Which represents an injection into a country's circular flow of income?

- ☐ A corporate taxes Tax (w)
- ☒ B interest payments on government bonds [income received]
- ☐ C the payment of dividends to foreign shareholders (payment made)
- ☐ D the repayment of bank loans (payment made)

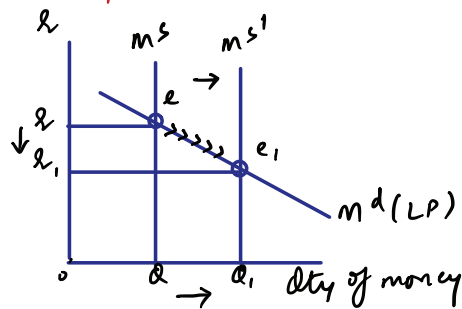
- 20 Over one year the money income in an economy increased by 6%. In the same period prices rose by 4%.

What can be concluded from this?

- (Wrong) A Real incomes decreased by 2%. $+2\% \Leftarrow 6\% - 4\%$
 $[Real\ income\ \% = \frac{Nominal\ money\ income\ \%}{Inflation\ \%}]$
 B The velocity of circulation decreased by 2%. (Velocity of circulation is constant)
 C The money supply increased by 10%. (No)
 D The volume of output increased by 2%. $MV = PT$
 $6\% = 4\% [2\%]$

- 21 What is likely to be the effect on interest rates and the supply of money of a purchase of government securities by a central bank?

	interest rates	money supply
A	increase	increase
B	increase	decrease
C	decrease	decrease
D	decrease	increase



- 22 The table shows the figures for consumption, capital formation and depreciation in four economies, all measured in US \$.

Assuming that the state of technology remains unchanged, which economy is most likely to experience economic growth?

economy	consumption (\$ million)	capital formation (\$ million)	capital depreciation (\$ million)	
A	100	10	20	= -10
B	500	200	100	= 100
C	1 000	1 200	1 400	= -200
D	20 000	5 000	6 000	= -1000

GDP / Total population

- 23 Gross Domestic Product (GDP) per head is an indicator sometimes used to compare living standards of various countries. GDP is converted into a common currency at market exchange rates.

Output considered as Exchange rate

What might cause this indicator to exaggerate the relative position of an individual country?

- A a high level of female participation in the labour force (No)
- ☒ B a high level of foreign ownership in domestic industry [*It actually not our output/income*]
- C a high level of subsistence farming (*Understate the GDP*)
- D relatively low hours worked by the labour force (*understate*)

Govt spending > Tax revenue

- 24 In the absence of offsetting changes, what will result in an increase in a government's fiscal deficit?

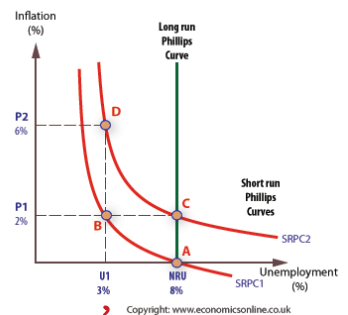
- A a decrease in household saving, *spending by household ↑*
- B a decrease in interest rates on government bonds, *spending by individuals ↑*
- ☒ C a decrease in private sector investment, *government will require to increase spending*
- D a decrease in the country's trade deficit, *AD ↑, growth without government*

- 25 An economy is operating at its natural rate of unemployment. (*NAIRU*) → *Frictional, seasonal and structural!*

According to monetarist theory, what will be the effect on unemployment in the short run and in the long run of an unanticipated increase in the money supply?

	short run	long run
A	no change	no change
B	no change	reduction
☒ C	reduction ✓	no change
D	reduction ✓	reduction

*MS ↑ → longrun
LR ↓
C ↑ unchanged
AD ↑
Un ↓ fixed!
Shortrun 'NAIRU'*



'Longrun phillips curve'

- 26 What are likely to be the impacts on an economy of increased competition from abroad?

	impact on trade balance	impact on rate of inflation	impact on unemployment rate
A	improve	raise	decrease
B	improve	reduce ✓	decrease
C	worsen ✓	raise	increase ✓
☒ D	worsen ✓	reduce ✓	increase ✓

*More import
Expenditure, ⇒ AD ↓ (inflation) reduced
less export
revenue ↓
worsen
Unemployment ↑*

27 An economy has underemployed resources.

Which method of financing an increase in government expenditure is likely to have the greatest expansionary effect?

- ✓ A borrowing from the central bank *Spending ↑, C ↑, AET ↑, Multiplier ↑*
 B borrowing from the non-bank private sector *(Doesn't change money supply)*
 C increased direct taxation *Tax ↑, Disposable income ↓, C ↓, AD ↓, Downward multiplier*
 D increased indirect taxation *Tax ↑, prices ↑, C ↓, AD ↓, Downward multiplier*

28 The table shows how the government finances its budget deficit in a closed economy.

	\$
budget deficit	200 billion
<u>sale of government securities to the central bank</u>	<u>50 billion</u>
sale of government securities to the non-bank private sector	150 billion

Doesn't affect money supply ←

If there is no change in notes and coins in circulation and commercial banks maintain a 10% cash reserve ratio, what will be the resulting increase in the money supply?

- A \$50 billion *$\frac{1}{10\%} \Rightarrow 10$ (Bank multiplier)*
 B \$150 billion *10%*
 C \$200 billion *$\frac{1}{10\%} \times 50 \text{ billion} \Rightarrow \500 billion*
 ✓ D \$500 billion

29 What is likely to be the effect on developing economies of an increase in inward foreign direct investment?

- ✓ A an acceleration of technology transfer *[more Investment ↑, Multiplier ↑]*
 B an increase in the burden of debt *(It's an investment, not debt)*
 C an increase in visible trade deficits *(No link to trade)*
 D a slowdown of rural-urban migration *(No)*

*↓
This always happens at higher pace*

more aid, more
dependency!



30 Economists have proposed that the best policy to promote development is 'trade not aid'.

What is implied by this proposal?

- A Developing countries should become self-sufficient. (No) Trade ↑, growth ↑
- ☒ B Developing countries should be given greater access to markets in developed countries.
- C Developing countries should use foreign aid to invest in their export industries. (No aid)
- D Developing countries should use trade barriers to promote import substitution.

↳ Extract refers to trade not trade protection!

Greater access to market in developed countries, results in development of developing economies/countries.